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LINE 6

25-CIV-09923

SARA CRABA VS. HEADSPACE INC.

SARA CRABA
HEADSPACE INC.

STEVEN CHIZEN
CHRISTOPHER A. CROSMAN

DEFENDANT'S MOTION TO COMPEL ARBITRATION AND STAY ACTION PENDING ARBITRATION

TENTATIVE RULING:

This is an employment law case. Plaintiff Sara Craba has sued Defendant Headspace, Inc. for Wrongful Termination, Sex/Gender Discrimination (FEHA), Retaliation (FEHA), and Failure to Prevent Discrimination and Retaliation.

Defendant has moved to compel arbitration pursuant to an alleged Arbitration Agreement.

Defendant's motion is GRANTED.

LEGAL STANDARD

Defendant brings the instant Motion to ask the Court to compel Plaintiff to arbitrate this matter pursuant to the Federal Arbitration Act (9 U.S.C. § 1, et seq.) (the "FAA"), and pending arbitration, to stay this action (9 U.S.C. § 3; Code Civ. Proc., § 1281.4.).

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

The right to compel arbitration has been waived by the petitioner; or

Grounds exist for rescission of the agreement.

(Code Civ. Proc., ¶ 1281.2, subds (a) & (b).)

A party meets its burden to establish the existence of the arbitration agreement by providing a copy thereof to the Court, or by stating the paragraph verbatim. (*Baker v. Italian Maple Holdings, LLC* (2017) 13 Cal.App.5th 1152, 1160; Cal. Rules of Court, rule 3.1330.) The arbitration agreement has been placed before this Court. (Evans Decl., Ex. C.) Arbitration is proper when an agreement to arbitrate the controversy exists. (Code Civ. Proc., § 1281.2.) The initial determination of whether the parties agreed to arbitrate the dispute in question "involves two considerations: (1) whether there is a valid agreement to arbitrate between the parties; and (2)

whether the dispute in question falls within the scope of that arbitration agreement.” (*Bruni v. Didion* (2008) 160 Cal.App.4th 1272, 1283.)

There is no dispute between the parties that the Defendant’s claims fall within the scope of the alleged Arbitration Agreement. Therefore, the analysis below concerns only part one, whether there is a valid agreement to arbitrate.

ANALYSIS

In California, general principles of contract law determine whether the parties have entered a binding agreement to arbitrate, and the party seeking arbitration bears the burden of proving the existence of an arbitration agreement.” (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842–843 [affirming denial of motion to compel arbitration where movant failed to submit an authenticated arbitration agreement].)

Although the party seeking arbitration bears the ultimate burden of proof as to the existence of an arbitration agreement, the burden of producing evidence on the issue may shift pursuant to a three-step process recognized by California courts. [] The first step requires the party seeking arbitration to carry the initial burden of presenting prima facie evidence of a written agreement to arbitrate the controversy. [] If that initial burden is met, the second step requires the party opposing arbitration to carry the burden of producing evidence to challenge the authenticity of the agreement. [] If the opposing party meets the burden of producing sufficient evidence, the third step requires the party seeking arbitration to prove by a preponderance of the evidence that the parties formed a valid contract to arbitrate their dispute.

Ramirez v. Golden Queen Mining Co., LLC (2024) 102 Cal.App.5th 821, 830 [citations omitted].)

The Court performs this three-step process in a summary fashion as the trier of fact, weighing all affidavits, declarations, and other documentary evidence to reach a final determination. (*Gamboa v. Northeast Comm. Clinic* (2021) 72 Cal.App.5th 158, 165 (*Gamboa*).) First, the moving party need only “attach[] to the motion or petition a copy of the arbitration agreement purporting to bear the opposing party’s signature.” (*Ibid.*) “For this step, it is not necessary to follow the normal procedures of document authentication.” (*Ibid.*) Second, “if the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then ... the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement.” (*Ibid.*) Third, only if the opposing party meets that burden of production, does the moving party then have to “establish with admissible evidence a valid arbitration agreement between the parties.” (*Ibid.*)

As to step one, Defendant provides a copy of the executed Arbitration Agreement. (Evans Decl., ¶ 18, Ex. C.) Thus Defendant satisfies the first step.

As to step two, Plaintiff claims:

I do not recall physically receiving, or receiving via email, electronic means, or through a job onboarding portal, a binding arbitration agreement from Headspace or its agents to sign, and, on information and belief, did not receive a binding arbitration agreement from Headspace or its agents to sign.

I have diligently searched my email, electronic files, and physical files and do not have in my possession any email, electronic file, or physical file relating to an arbitration agreement from Headspace. I did not knowingly delete or destroy any emails, electronic files, or physical files related to Headspace onboarding and/or arbitration related documents.

I do not recall physically signing a binding arbitration agreement with Headspace, or signing a binding arbitration agreement with Headspace via email, a job onboarding portal, or by any other electronic means including e-signature, and, on information and belief, did not sign or e-sign a binding arbitration agreement with Headspace.

I read all the documents that I signed as part of the onboarding process with Defendant and would have remembered if I reviewed and/or signed an arbitration agreement. I do not recall being asked to sign any arbitration agreement as part of my onboarding process with Headspace. Nobody affiliated with Headspace ever provided me with any information about what arbitration is, what arbitration means, or that I would be waiving my right to sue in court or my right to a jury trial if I signed any documents that Headspace provided to me.

I have personally read, reviewed, and am familiar with all the moving papers that Defendants filed in connection with their Motion to Compel Arbitration, including the purported arbitration agreement (Exhibit C). I do not recall electronically signing the arbitration agreement in that Exhibit.

(Craba Decl., ¶¶ 4-6, 8, 9.) The Court finds this sufficient to shift the burden back to Defendant to establish a valid arbitration agreement by a preponderance of evidence. (*Gamboa, supra*, 72 Cal.App.5th at p. 165-66 [acknowledging opposing party may challenge authenticity of arbitration agreement by declaring under penalty of perjury that they do not remembering seeing or signing the agreement].)

As to step 3, Defendant submits evidence sufficient to establish a valid arbitration agreement through the Declaration of Lindsey Evans, Senior Director of People Operations at Headspace, Inc. Ms. Evans also submitted a Supplemental Declaration with Defendant's Reply.

Headspace uses an electronic onboarding platform called UKG. (Evans Decl., ¶ 4.) When a new employee's name is entered into UKG, the system automatically sends an email to the employee's personal email address. (*Id.*, ¶ 7.) The email instructs the user to click a link to create

a password, enter their personal email address, and then retrieve and enter a verification code to set up a secure password so that the employee may initiate the onboarding process. (*Id.*, ¶ 9.) The onboarding can only begin after completing this step. (*Ibid.*) Headspace does not have access to any employee's UKG password. (*Ibid.*)

Once logged in, all required onboarding tasks are listed, including reviewing and signing the arbitration agreement. (*Id.*, ¶ 10.) The employee is required to enter their full name and affirmatively consent to the use of that name as their electronic signature. (*Id.*, ¶ 11.) Once the employee provides electronic signature consent, UKG directs the employee to proceed to the Company Documents section, which lists all the policies and agreements that must be reviewed, acknowledged, or signed – including Headspace's Arbitration Agreement. (*Id.*, ¶ 12.) The system does not allow the employee to move past any document until it is completed. (*Id.*, ¶ 13.) If anything document remains unsigned, the system displays a validation notice and prevents further progress. (*Ibid.*)

The arbitration agreement is among the onboarding documents presented to all employees. (*Id.*, ¶ 14.) When an employee opens the document, the full text of the Arbitration Agreement is displayed and the employee's name is populated at the top of the first page of the Agreement. (*Ibid.*) After reviewing the document, the employee must manually click to electronically sign the Agreement in the signature field at the end of the document. (*Id.*, ¶ 15.) The signature is only applied after the employee affirmatively clicks to sign. (*Ibid.*)

After completing all required documents, the employee is shown a summary list of all the documents reviewed, acknowledged, or signed, and the employee may download copies for their personal records. (*Id.*, ¶ 16.) The employee must click "Next" to advance to the final screen, which again includes a summary of all completed documents. (*Ibid.*) The onboarding process is only complete after the employee clicks "Submit" on the final screen, at which point Headspace receives confirmation through UKG and the employee is moved into Headspace's HR system. (*Id.*, 17.)

Ms. Evans declares that Plaintiff completed the onboarding process, including signing the Arbitration Agreement on February 17, 2022, and could not have done so other than completing the process described above. (*Id.*, ¶ 18, 19.) Upon completion of onboarding, UKG automatically stored Plaintiff's executed onboarding documents, including the Mutual Agreement to Arbitrate, in Headspace's personnel records system. (Supp. Evans Decl., ¶ 17.)

Plaintiff argues that the facts here are analogous to *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 840-41, where the Court found the defendant failed to show that the plaintiff electronically signed the arbitration agreement. There, Defendant's supporting declaration established that each employee was required to log into the company's HR system with their unique login credentials to review and execute the arbitration agreement. (*Ibid.*) However, Defendant failed to provide further evidence to show that the plaintiff *himself* signed the agreement. (*Ibid.*) Plaintiff argues that, like *Ruiz*, Defendant relies on the assumption that because all new hires had to fill out paperwork that required signatures, Plaintiff must have signed the contract. Plaintiff further argues that the Evans Declaration does prove that any email

was ever sent to Plaintiff and contains no evidence of DocuSign, or other e-signature software, no email trail, no onboarding e-portal information for Plaintiff, and no metadata.

Defendant argues that the facts here are analogous to *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1062, where the Court of Appeal held that the defendant had sufficiently authenticated an electronic signature challenged by the plaintiff.

In *Espejo*, the defendant submitted evidence of an electronic review and signature process for employees that included: a link to the employer's platform for onboarding; providing employees with a private username and password by phone; employees re-setting the password to a unique one of their choice once logged in; a prompt requiring the employee to agree to complete the employee documents with an electronic signature; hyperlinks to each required document; finalizing the employees signed acceptance with his name, date, time, and the IP address where the employee electronically signed. (*Espejo, supra*, 246 Cal.App.4th at 1053-54.) The Court of Appeal held that this evidence "offered the critical factual connections that the declarations in *Ruiz* lacked."

The Court agrees with Defendant that the facts here are analogous to those in *Espejo*. Here, as described above, Defendant's process for onboarding employees included: an "Welcome Email" sent to the employee's private email address; a link in the Welcome Email to prompting the employee to – after retrieving a confirmation code sent to their personal email – create secure login credentials (which are unknown to Defendant) to the onboarding platform; the requirement that the employee consent to using an electronic signature; links to the required documents, including the Agreement, without the ability to complete the onboarding process before executing all the required documents; an affirmative clicking action required to sign the Arbitration Agreement; a review page summarizing all the documents reviewed and allowing the employee to save documents for their records; and storage of executed onboarding documents, including executed Arbitration Agreements, in Defendants' personnel records. (*See Evans Decl. and Supp. Evans Decl.*) While Defendant's system does not document the IP address used by employees, *Espejo* does not single that fact out as dispositive. The Court finds that process here is substantially identical to that in *Espejo*.

Notably, while Plaintiff denies specifically receiving a binding arbitration agreement by email or any other means (Craba Decl., ¶ 4), Plaintiff does not deny receiving the "Welcome Email" described in paragraphs 7-9 of the Evans Declaration, which includes a link to initiate the onboarding process. Moreover, Plaintiff does not deny going through the onboarding process. In fact, Plaintiff claims that she read all the documents she signed as part of the onboarding process and thus acknowledges having gone through and completed that process. (Craba Decl., ¶ 8.)

Plaintiff claims that she "did not knowingly consent to using my typeface name as my signature on any arbitration agreement with Headspace." (Craba Decl., ¶ 7.) But as explained in the Evans Declaration, the onboarding process – which Plaintiff acknowledges she completed – "requires the individual to enter their full name and affirmatively consent to the use of that name as their electronic signature." (Evans Decl., ¶ 11.) Separately, users must "manually click to

electronically sign the required signature field” of the Agreement; “the signature is applied only after the employee affirmatively clicks to sign.” (Evans Decl., ¶ 15.)

The Court finds that the evidence presented by Defendant concerning onboarding process, including the necessity of executing the arbitration agreement in order complete that process, is sufficient to authenticate Plaintiff’s electronic signature on the executed Arbitration Agreement presented by Defendant, over Plaintiff’s general claim that she does not recall the Agreement being part of the onboarding process. In the consumer context, transactions done on a website--the app appears to act like a website “a manifestation of assent may be inferred from the consumer’s actions on the website—including, for example, checking boxes and clicking buttons.” (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 461.) “Courts have generally enforced agreements to arbitrate formed via ‘clickwrap,’ where “ ‘an internet user accepts a website’s terms of use by clicking an ‘I agree’ or ‘I accept’ button, with a link to the agreement readily available.” ’ ” (*Weeks v. Interactive Life Forms, LLC* (2024) 100 Cal.App.5th 1077, 1084–1085.) “Clickwrap agreements have been held to manifest assent, even on consumers who did not read them, because ‘the website [has] put[] the consumer on constructive notice of the contractual terms.’ ” (*Id.* at p. 1085; see *Lelley, Terms of Use* (2006) 91 *Minn. L. Rev.* 459, 466 [“Because the user has ‘signed’ the contract by clicking ‘I agree,’ every court to consider the issue has held clickwrap licenses enforceable.”]) The Court reaches the same context in this employment context, where Plaintiff had the ability to ask questions of the employer who uses onboarding through a computer.

Defendant has established the existence of a valid arbitration contract governing the claims brought by Plaintiff in this action. Accordingly, Defendant’s motion to compel is GRANTED.

The Court further GRANTS Defendant’s request to stay this action in its entirety pending the completion of arbitration by the parties.

The Court sets a case management conference for February 2, 2027 at 9:30 a.m. with a joint case management statement due five court days before the conference. If the parties want to advance or continue the conference, they shall jointly email Department 4 and propose a new date (a Tuesday at 9:30 a.m.).

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for the Defendant shall prepare for the Court’s signature a written order consistent with the Court’s ruling, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court.

2:00 PM

LINE 7

25-CLJ-06965

TD BANK USA, N.A. VS. ALVARO J ESPINOSA

TD BANK USA, N.A.
ALVARO J ESPINOSA

DONALD SHERRILL
CHRISTINA TOROYAN

MOTION TO BE RELIEVED AS COUNSEL FOR DEFENDANT ALVARO ESPINOSA

TENTATIVE RULING:

The court rules on the motion of Paul Eum and Deborah Lee to be relieved as counsel for defendant Alvaro Espinosa as follows:

If defense counsel demonstrates service on defendant and plaintiff's counsel of the proper hearing date, then the motion is GRANTED. The order does not become effective until notice of entry of order on the defendant.

In the notice of motion, plaintiff put the date of May 5, 2026 as the hearing date, but the clerk's office changed the hearing date to July 14, 2026. The court file shows a proof of service filed April 9, 2026 of the motion showing service of the motion on defendant and plaintiff's counsel on April 9, 2026. Thus, based upon the change of hearing date by the clerk, plaintiff could not have provided on April 9, 2026 proper notice of the July 14, 2026 hearing. On April 29, 2026, defense counsel filed a proof of service showing proof of service by mail on defendant. However, it is unclear whether defendant was served with notice of the hearing date of May 5 or July 14, 2026. There is no amended proof of service on plaintiff's counsel of an amended notice with the court date. Therefore, it is unclear if defendant and plaintiff's counsel receive proper notice of the hearing date. (Cal. Rules of Court, rule 3.1110(b)(1).) Without proper notice on defendant and plaintiff's counsel, the court cannot consider the motions. (See *Diaz v. Professional Community Management, Inc.* (2017) 16 Cal.App.5th 1190, 1204–1205 [court lacks jurisdiction to rule on a motion that has not been properly noticed].)

Accordingly, if defense counsel can show proper service or a waiver of service, counsel shall properly contest the tentative ruling, and by 11:00 a.m. on July 14, 2026, file a declaration showing that both defendant and plaintiff's counsel received proper notice of the hearing or showing a waiver of notice, and then at the hearing the court will grant the motion. If these conditions are not met, court must deny the motion.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, counsel for defendant shall prepare a written order consistent with the court's ruling for the court's signature, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling to all parties who have appeared in the action, as required by law and the California Rules of Court.
